was planned that the operations would be SIA's responsibility while the Tata Group would retain management control.

Only one other bidder evinced interest in picking up the stake. Finally, however, Tata–SIA remained the lone player. This led to various allegations, including that of favouritism, spearheaded by workers' unions, rival airline lobbyists and some politicians.

It was déjà vu for SIA, which found the foreign investment rules in India inconducive and withdrew. Having lost its partner, it was not pragmatic for the Tata Group to take the proposal further.

Ratan viewed the government's reluctance to give up control of Air-India as the main stumbling block to his dream. It was ironic that this happened despite the government earlier wanting to divest its stake in the airline. In a 2007 interview, Ratan said that the reason previous attempts at divestment in Air India failed was because the ministry did not want to let go of its control: 'Air India had become politicised and various people had developed vested interests … If the ministry had left the company alone, to be run by its representatives who would wear the hat of directors of that enterprise and keep its interest in mind, then I think it would work.'

In September 2012, the Manmohan Singh-led UPA government approved a new policy allowing foreign airlines to buy up to a 49 per cent stake in Indian airlines. Tony Fernandes, CEO of AirAsia, a no-frills Malaysian airline, openly evinced interest in entering the Indian market.

Ratan was again enthused. A few weeks before he stepped down as chairman, Tata Sons, on 6 December 2012, he 'called for an urgent board meeting of the company at Bombay House' where he introduced the proposal from AirAsia, which 'was starting a new airline in India, and wanted the Tata's [sic] to invest up to 30 per cent' in it. 'Minutes later, Tony Fernandes, AirAsia chairman, walked in to make a presentation,' a media story reported. It was a momentous decision as it was the first investment the group would make in an airline since the nationalization of Air India. The group took up the proposed stake in the venture, named AirAsia India, after the FIPB accorded approval in February 2013. Arun Bhatia of Telstra Tradeplace held 21 per cent and the remaining was with AirAsia.

Ratan has never liked being a subordinate partner in any business. He was not the chairman of the group any longer, but, with the new aviation policy in place, in September 2013 Tata Sons began talks with SIA yet again to set up a full-service airline, Vistara.